

Transitional Banking Reform Framework for Iran

*A Compliance and Institutional Blueprint
for Post-Sanctions Financial Reintegration*



Author

Reza Ostad, LL.B., LL.M., ICA (UK)

International Banking & Compliance Lawyer

**Policy Proposal Submitted to the Central Bank of Iran
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Strategic Edition for Iran's Economic Transition

After decades of financial sanctions, banking isolation, and restricted access to the international financial system, Iran's banking sector faces deep structural challenges. The disconnection of many Iranian banks from global financial networks and the lack of full compliance with international regulatory standards have significantly reduced the confidence of foreign banks and limited Iran's financial engagement with the global economy. This strategic report has been prepared with the aim of presenting a comprehensive framework for the reconstruction and reform of Iran's banking system during the transitional period. The work examines the legal, regulatory, and institutional principles required to align Iran's banking system with international standards and outlines a practical roadmap for the reintegration of Iranian banks into the global banking network. This proposal has been developed based on the standards and regulatory principles of major international financial institutions, including the Financial Action Task Force and the Basel Committee on Banking Supervision, as well as the transparency and compliance requirements of the modern global banking system. The ultimate objective of this framework is to establish a transparent, stable, and credible banking system capable of playing an active role in the global economy while enabling sustainable growth and constructive engagement between Iran and international financial markets.

About the Author

Reza Ostad is a compliance and banking law expert, specialising in regulatory compliance, banking reform, and financial sanctions. His work focuses on the reconstruction of banking systems in transitional economies and the design of globally compliant financial architectures. He is also the author of *Second Class Citizen*, a critically acclaimed work exploring the legal, financial, and human rights challenges faced by sanctioned nations and their citizens. With years of experience advising on complex cross-border financial matters, Reza combines practical expertise with deep academic insight. His research and consultancy bridge the fields of law, finance, and public policy, providing actionable frameworks for economic reform, institutional governance, and the reintegration of isolated banking systems into the international financial community. Reza holds an LL.B. from Tehran Azad University, LL.M from Bournemouth University in the UK and was trained by International Compliance Association (ICA) (UK) in compliance and Anti Money Laundering. He worked as banking lawyer as well as compliance and AMLO at Active offshore law firm in Guernsey United Kingdom under GFSA which is one of the most prominent offshore banking jurisdictions in the world.

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Historical Report on Sanctions Against the Iranian Banking System. Legal, Political, and Institutional Analysis of Iran's Disconnection from the Global Financial System

1. Introduction

The disconnection of Iranian banks from the SWIFT network in 2012 marked a turning point in the financial isolation of Iran. The measure demonstrated the power of financial infrastructure as a tool of international economic pressure. Although partial reconnection occurred following the nuclear agreement in 2016, renewed sanctions have continued to limit Iran's participation in global banking networks. For Iran to fully reintegrate into the international financial system, comprehensive regulatory reform, institutional transparency, and sustained political commitment will be essential. The Iranian banking sector has experienced one of the most extensive and prolonged financial sanction regimes in modern international finance. Over four decades, the banking system of Iran has been progressively isolated from the global financial system through a combination of unilateral sanctions, multilateral restrictions, and regulatory actions affecting cross-border financial messaging systems. The most significant measure occurred in 2012, when Iranian banks were disconnected from the global interbank messaging network SWIFT. This unprecedented step effectively severed Iran's ability to conduct routine international banking transactions. Understanding the historical evolution of these sanctions is essential for any future effort to rebuild Iran's financial sector and reintegrate it into the global financial architecture.

2. Development of the Iranian Banking System Before Sanctions

The modern Iranian banking sector began to take shape during the early twentieth century and expanded significantly during the period preceding the 1979 Iranian Revolution. Despite these changes, Iran remained integrated with international financial markets until the mid-2000s. Before the revolution:

- Iran maintained close financial relations with Western banking institutions.
- International banks operated branches in Tehran.
- Oil revenues were processed through global correspondent banking networks.

Following the revolution of 1979, the Iranian banking system underwent a structural transformation:

- major banks were nationalised
- the banking sector was Islamised
- interest-based financial products were replaced with Islamic finance instruments.

3. Early U.S. Financial Sanctions (1979–2005)

The first financial sanctions targeting Iran's banking sector were imposed by the United States following the 1979 hostage crisis. These early sanctions primarily affected U.S. entities, but they did not yet fully isolate Iran from the global banking system. Key measures included:

- freezing Iranian assets held in the United States
- restricting access to U.S. financial markets
- prohibiting U.S. banks from conducting transactions with Iranian financial institutions.

Over time, these sanctions expanded under various U.S. legislative frameworks, including:

- the Iran and Libya Sanctions Act (1996)
- executive orders targeting Iranian financial institutions.

4. Escalation of International Sanctions (2006–2012)

The most significant escalation of financial sanctions occurred between 2006 and 2012. These sanctions were largely connected to concerns regarding Iran's nuclear program. The United Nations Security Council adopted several resolutions imposing restrictions on Iranian financial institutions and trade activities. Simultaneously:

- the United States imposed secondary sanctions targeting foreign banks that conducted business with Iran
- the European Union introduced restrictions on Iranian financial institutions.

These sanctions began to significantly affect:

- correspondent banking relationships
- cross-border payments
- international trade finance.

5. Disconnection from the SWIFT Network (2012)

The most dramatic step occurred in March 2012. As a result, on 17 March 2012, multiple Iranian financial institutions were disconnected from SWIFT. This step was extraordinary. SWIFT described the disconnection as an unprecedented action taken in response to international sanctions. Following a decision by the European Union, the Belgium-based SWIFT network was legally required to disconnect sanctioned Iranian banks from its messaging system. SWIFT operates under Belgian law and therefore must comply with EU regulations. Under EU Regulation 267/2012 'companies providing specialised financial messaging services were prohibited from servicing sanctioned Iranian banks'.

6. Impact of the SWIFT Disconnection

The disconnection had profound consequences for the Iranian economy.

SWIFT functions as the primary communication network for global banking transactions, enabling banks to exchange payment instructions, letters of credit, and securities transactions. These workarounds significantly increased transaction costs and reduced transparency. When Iranian banks were removed from the network:

- cross-border payments became extremely difficult
- oil revenue transfers were disrupted
- import financing was severely constrained.

Iranian companies were forced to rely on alternative methods such as:

- cash transfers
- barter trade
- informal financial intermediaries.

7. Nuclear Agreement and Partial Reconnection (2016)

A major shift occurred following the 'Joint Comprehensive Plan of Action' (JCPOA) nuclear agreement reached in 2015. After sanctions relief measures were implemented in January 2016, many Iranian banks were reconnected to the SWIFT network. Approximately 23 Iranian banks as well as the Central Bank of Iran regained access to the network. This reconnection represented a key step in Iran's reintegration into the global financial system. However, significant restrictions remained. Many international banks remained reluctant to re-establish correspondent banking relationships due to ongoing U.S. sanctions and compliance risks.

8. Re-imposition of Sanctions and Renewed Restrictions (2018)

In 2018, the United States withdrew from the JCPOA and re-imposed sanctions on Iran. The SWIFT organisation stated that the suspension of Iranian banks was taken to protect the integrity of the global financial system. The renewed restrictions further limited Iran's access to international banking channels. As a consequence several Iranian banks were once again removed from SWIFT services.

9. Attempts to Circumvent Financial Isolation

In response to sanctions, Iran pursued several alternative financial strategies. Iran has also explored bilateral financial cooperation with countries such as Russia in order to reduce reliance on SWIFT-based transactions. Nevertheless, these alternatives have not fully replaced access to the global banking infrastructure. These included:

- creating domestic payment messaging systems
- establishing financial links with non-Western partners
- conducting trade through barter arrangements.

10. Long-Term Consequences for the Iranian Banking System

Years of financial isolation have had several structural consequences for Iran's banking sector. These factors must be addressed through comprehensive institutional reforms if Iran seeks to regain the trust of international financial institutions. These include:

1. weakened compliance infrastructure
2. limited integration with global financial regulation
3. reduced correspondent banking relationships
4. technological lag in payment systems and compliance monitoring.

11. Lessons for Future Banking Reform

Future reintegration into the global financial system will depend on alignment with international standards established by organisations such as the Financial Action Task Force and the Basel Committee on Banking Supervision. Without such reforms, the restoration of full international banking access will remain difficult. The history of sanctions against Iran's banking system illustrates the importance of:

- regulatory transparency
- compliance with international anti-money-laundering standards
- credible financial supervision.

Risks of Weak Banking Procedures After Sanctions Are Lifted

The lifting of sanctions presents a historic opportunity for Iran to rebuild its financial system and re-engage with global markets. However, without strong banking procedures and regulatory oversight, the transition could expose the country to severe economic risks. A comprehensive reform strategy supported by strong institutions, international standards, and modern financial infrastructure will be essential to ensure that Iran's post-sanctions financial system is stable, transparent, and resilient.

Strategic Blueprint for Post-Sanctions Financial Stability in Iran

When international sanctions are lifted, a country's financial system undergoes rapid reintegration into the global financial network. For Iran, this would involve reconnecting banks to international payment systems, restoring correspondent banking relationships, and reopening access to foreign capital markets.

However, if the banking system lacks robust regulatory procedures, compliance frameworks, and supervisory capacity, the post-sanctions period can produce serious financial instability. Weak banking governance can expose the country to financial crime, capital flight, reputational damage, and renewed isolation from global financial infrastructure such as SWIFT.

This section outlines the systemic dangers of weak banking procedures and proposes a strategic blueprint for strengthening the Iranian financial sector after sanctions are lifted.

2. Structural Weaknesses in a Post-Sanctions Banking Environment

2.1 Compliance Deficiencies

One of the most critical risks is the absence of internationally accepted compliance standards. Without strong compliance mechanisms, Iranian banks would remain high-risk partners in the global financial system. Global banks operate under strict anti-money-laundering (AML) and counter-terrorism financing (CFT) requirements developed by the Financial Action Task Force (FATF). If Iranian banks fail to implement these standards, foreign institutions may refuse to establish correspondent relationships, effectively isolating Iran even after sanctions are formally lifted. Common compliance weaknesses include:

- inadequate customer due diligence
- lack of beneficial ownership transparency

- poor monitoring of suspicious transactions
- weak sanctions-screening systems.

2.2 Reputational Risk in International Banking

Global financial institutions are extremely sensitive to reputational risk. Even minor compliance failures can trigger the termination of banking relationships. Following sanctions relief, foreign banks will closely scrutinize Iranian institutions before reconnecting them to international financial networks. Any evidence of regulatory weakness could prevent Iran from fully restoring access to global markets. Reputational damage can therefore delay economic recovery even after sanctions are removed.

2.3 Capital Flight and Financial Instability

Weak banking procedures may lead to rapid capital outflows once international financial channels reopen. Investors and depositors who previously held funds domestically due to sanctions restrictions may transfer assets abroad if they lack confidence in the stability of domestic banks. Strong financial supervision is therefore essential to maintain economic stability during the transition period. Large-scale capital flight could lead to:

- currency depreciation
- banking liquidity shortages
- inflationary pressures.

Methods for Strong Financial Supervision in a Transitional Banking System

During the transitional period following sanctions relief, strong financial supervision acts as the foundation of economic stability. Without robust oversight mechanisms, the banking system risks capital flight, money-laundering abuse, reputational damage, and renewed isolation from global finance. By implementing internationally recognised supervisory standards, particularly those developed by the Financial Action Task Force and the Basel Committee on Banking Supervision, a reformed banking system can regain credibility and secure sustainable reintegration into the international financial system.

1. Independent and Empowered Central Bank Supervision

The supervisory authority, typically the central bank, must operate with institutional independence from political influence. This model follows the supervisory principles developed by the Basel Committee on Banking Supervision. Without independence, supervisory bodies can be captured by political elites or oligarchic banking networks. Key mechanisms include:

- Establishing a ‘dedicated Banking Supervision Authority’ within the central bank
- Legal protection for supervisory decisions
- Transparent appointment procedures for regulators
- Mandatory disclosure of supervisory reports to parliament or oversight bodies

2. Risk-Based Supervision (RBS)

Modern banking supervision is no longer purely compliance-based. Instead, regulators apply risk-based supervision. Higher risk institutions receive more frequent inspections and deeper regulatory scrutiny. This means Regulators identify and monitor banks based on risk indicators such as:

- Capital adequacy
- Liquidity risk
- Credit concentration
- Exposure to politically exposed persons (PEPs)
- Cross-border transaction flows

3. Strong Anti-Money Laundering and Counter-Terrorist Financing Controls

For a country re-entering global finance after sanctions, AML compliance becomes the ‘primary trust mechanism’ with foreign banks. These systems must align with the standards of the Financial Action Task Force. Without credible AML enforcement, foreign correspondent banks will refuse relationships. Supervisory methods include:

- Mandatory Know Your Customer (KYC) verification
- Enhanced Due Diligence for high-risk clients
- Transaction monitoring systems
- Suspicious Transaction Reporting (STR)

4. Prudential Regulation and Capital Requirements

Banks must maintain sufficient capital buffers to absorb financial shocks. These standards are based on the Basel III framework created by the Basel Committee on Banking Supervision. This includes:

- Capital Adequacy Ratio (CAR)
- Liquidity Coverage Ratio (LCR)
- Stress testing under crisis scenarios
- Limits on large exposures

5. Continuous On-Site and Off-Site Inspections

Supervisory authorities should combine two complementary monitoring systems. This hybrid model allows regulators to detect risks before systemic crises develop.

On-site supervision

Physical inspections of banks to review:

- loan portfolios
- governance practices
- internal controls
- compliance systems

Off-site supervision

Continuous monitoring through:

- regulatory reporting
- financial data analytics
- early warning indicators

6. Centralised Financial Intelligence Monitoring

A modern financial intelligence unit (FIU) should collect and analyse suspicious transactions. This strengthens global confidence in the banking system. The FIU must:

- cooperate with law enforcement
- exchange intelligence with international partners
- monitor high-risk sectors such as oil trade, crypto assets, and trade finance

7. Corporate Governance Requirements for Banks

Weak governance has historically been one of the biggest problems in sanction-affected banking sectors. These controls reduce insider lending and corruption. Supervisory reforms must require:

- Independent board members
- Fit-and-proper tests for executives
- Clear separation of ownership and management
- Internal audit and compliance committees

8. Transparent Regulatory Reporting

Transparency helps rebuild trust with international markets and correspondent banks. Banks must submit regular financial disclosures, including:

- audited financial statements
- risk exposure reports
- AML compliance reports
- liquidity stress data

9. Crisis Management and Resolution Framework

Supervision must also include procedures for bank failure management. A credible resolution framework prevents banking crises from escalating into national economic collapse. This involves:

- early intervention powers
- resolution mechanisms
- depositor protection schemes
- emergency liquidity support

2.4 Cybersecurity and Financial Infrastructure Vulnerabilities

Modern financial systems depend heavily on digital infrastructure. Reintegration into international payment networks requires compliance with advanced cybersecurity standards. Weak technical infrastructure could expose banks to cyberattacks, payment disruptions, and data breaches. Payment messaging networks such as SWIFT require strict operational security protocols. Failure to meet these standards could result in restricted access or additional monitoring.

2.5 Regulatory Capture and Political Interference

A common risk in transitional financial systems is political interference in banking supervision. If regulatory decisions are influenced by political considerations rather than prudential standards, banks may engage in excessive risk-taking, preferential lending, or hidden liabilities. Over time, such practices can generate systemic financial crises similar to those experienced in several emerging markets during periods of financial liberalization. Ensuring the independence of the Central Bank of Iran will therefore be essential for maintaining financial discipline.

3. Risks of Rapid Financial Liberalization

Following sanctions removal, governments often attempt to liberalize the financial sector quickly in order to stimulate economic growth. However, rapid liberalization without adequate regulatory preparation can produce severe banking crises. Iran must therefore adopt a gradual and carefully managed reintegration strategy. Historical examples from emerging economies demonstrate that such below negligence can create asset bubbles and financial instability:

- rapid credit expansion
- poorly supervised foreign capital inflows
- weak bank capitalization

4. Strategic Blueprint for a Resilient Post-Sanctions Banking System

To mitigate these risks, Iran should implement a structured reform program focusing on five core pillars.

Pillar 1 Strengthening Regulatory Governance

Institutional independence will help prevent political influence over banking supervision. The banking reform framework should establish:

- clear regulatory authority within the Central Bank
- independent supervisory bodies
- transparent regulatory decision-making processes.

Pillar 2 Implementation of International Prudential Standards

Iranian banks should adopt global regulatory standards developed by the Basel Committee on Banking Supervision. Compliance with Basel standards will significantly increase international confidence in Iran's financial institutions. These standards require banks to maintain:

- adequate capital buffers
- strong liquidity reserves
- robust risk-management frameworks.

Pillar 3 Comprehensive AML and Financial Crime Controls

Effective financial crime prevention is essential for global reintegration. The establishment of a national 'Financial Intelligence Unit' (FIU) will also strengthen cooperation with international financial regulators. Banks should implement advanced compliance systems including:

- automated transaction monitoring
- politically exposed person screening
- beneficial ownership verification
- cross-border transaction reporting.

Pillar 4 Modernization of Financial Infrastructure

Such modernization will ensure compatibility with international financial systems and reduce operational risks. Technological modernization should include:

- real-time payment settlement systems
- secure digital banking platforms
- advanced cybersecurity frameworks.

Pillar 5 Gradual Reintegration into Global Finance

Reintegration into the global financial system requires more than reconnecting to SWIFT. It requires structural credibility. Gradual reintegration allows regulators to monitor risks and strengthen supervision before opening the system completely. Only then can Iran regain the trust of international financial institutions and restore its role in the global economy. Iran should adopt a phased strategy for reconnecting with international financial institutions. A modern Iranian banking system must be built on:

- transparency
- rule of law
- independent supervision
- strict AML enforcement

This process should include:

1. compliance certification for domestic banks
2. pilot correspondent banking partnerships
3. limited international payment corridors
4. full global financial integration over time.

5. Long-Term Strategic Considerations

Even after sanctions are lifted, Iran's financial system will face persistent challenges.

Key long-term priorities should include:

- developing capital markets
- strengthening corporate governance
- improving transparency in financial reporting
- enhancing international regulatory cooperation.

By addressing these structural issues, Iran can transform its banking sector into a stable and internationally credible financial system. Following the removal of international sanctions and the reconnection of Iranian financial institutions to SWIFT, Iran's banking sector will require rapid institutional reform to regain trust from correspondent banks and the global financial system. Years of sanctions, regulatory isolation, and politically exposed financial networks have weakened compliance systems. To restore credibility, Iranian banks must transition to a modern regulatory architecture aligned with international standards, including:

- Financial Action Task Force (FATF) recommendations
- Basel Committee prudential rules
- UK Financial Services regulatory principles
- EU Anti-Money Laundering Directives
- Wolfsberg Group banking standards

This booklet proposes a 'three-phase transition plan' for rebuilding Iran's banking compliance framework.

PART I Institutional Reform

1. Creation of an Independent Financial Regulator

Iran should establish an independent supervisory authority similar to the UK model.

Proposed authority:

Iran Financial Supervisory Authority (IFSA)

Responsibilities:

- Prudential supervision of banks
- AML/CFT enforcement
- Licensing of financial institutions
- Consumer protection
- Market integrity oversight

Key principles:

- Political independence
- Parliamentary oversight
- Transparent enforcement actions
- Public reporting obligations

2. Central Bank Reform

The Central Bank must be restructured to separate 'monetary policy from political control'.

Key reforms:

- Fixed-term governor appointment

- Independent monetary policy committee
- Transparent inflation targeting
- External audit by international firms
- Full SWIFT transparency monitoring

PART II AML / CFT Framework

3. National AML/CFT Law

Iran must adopt legislation aligned with FATF 40 recommendations.

Core provisions:

- Criminalisation of money laundering
- Criminalisation of terrorist financing
- Mandatory suspicious transaction reporting
- Asset freezing mechanisms
- International information sharing

4. Financial Intelligence Unit

Establish a National Financial Intelligence Unit (FIU).

Functions:

- Receive Suspicious Activity Reports (SARs)
- Analyse transaction patterns
- Coordinate with law enforcement
- Cooperate with international FIUs (Egmont Group)

Banks must report:

- Suspicious transactions
- Large cash movements
- Politically exposed persons (PEPs)
- Cross-border transfers above threshold

PART III Bank-Level Compliance Structure

5. Mandatory Compliance Departments

Each Iranian bank must create an independent 'Compliance Division' reporting directly to the Board. Structure:

Chief Compliance Officer (CCO). The CCO must have authority independent from executive management.

Departments:

- AML Monitoring Unit
- Sanctions Compliance Unit
- Customer Due Diligence Team
- Transaction Monitoring Unit
- Regulatory Reporting Unit

6. Customer Due Diligence (CDD)

Banks must implement risk-based client onboarding.

CDD requirements:

Standard Due Diligence

- Identity verification
- Source of funds verification
- Business activity documentation

Enhanced Due Diligence (EDD)

Required for:

- Politically exposed persons
- High-risk jurisdictions
- Large corporate structures
- Charities and NGOs
- Cash-intensive businesses

EDD measures include:

- Wealth source investigation
- Beneficial ownership identification
- Continuous monitoring

7. Beneficial Ownership Registry

Iran must create a 'national beneficial ownership database'. This prevents the use of 'shell companies for sanctions evasion or corruption'. Requirements:

- All companies must disclose ultimate beneficial owners
- Mandatory updates annually
- Public access for regulators and banks

PART IV Transaction Monitoring

8. Automated AML Monitoring Systems

Banks must deploy modern compliance technology. Transactions flagged must be reviewed within 24 hours. Systems required:

- AI transaction monitoring
- Pattern recognition for laundering typologies
- Real-time sanctions screening
- Cross-border transaction alerts

9. Sanctions Screening

Even after sanctions removal, banks must screen against:

- UN sanctions lists
- EU sanctions lists
- US OFAC lists
- Global terrorist watchlists

Screening must apply to:

- Customers
- Beneficial owners
- Counterparties
- SWIFT messages

PART V — Governance and Ethics

10. Fit and Proper Test for Bank Executives

Senior bank managers must pass regulatory approval.

Criteria:

- No corruption record
- No sanction violations
- Professional banking experience
- Financial disclosure requirements

11. Whistleblower Protection

Iran must create a banking whistleblower protection regime. Reports must be protected from retaliation. Employees must be able to report:

- money laundering
- corruption
- sanctions evasion
- regulatory violations

PART VI — International Reintegration

12. Correspondent Banking Restoration

Transparency is essential to rebuild trust. To rebuild relationships with Western banks, Iran should:

- Invite international compliance audits
- Adopt Wolfsberg banking standards
- Join global payment transparency initiatives

PART VII — Transitional Oversight

13. International Advisory Board

To reassure global markets and ease of doing business, for the first five years, Iran could create an advisory board including:

- international banking regulators
- anti-money-laundering specialists
- global compliance experts

Institutional Design of a Central Bank–Centric Regulatory Model For the Post-Sanctions Iranian Banking System

Strategic Rationale

Many countries including Singapore and several emerging economies operate successfully under a centralised financial supervisory model. However, such a structure must be supported by strong internal separation of powers within the Central Bank itself. A unified regulatory model centred on the Central Bank of Iran offers several advantages during a transitional period:

1. **Institutional stability:** avoids fragmentation of supervisory powers.
2. **Rapid reform implementation:** one authority can enforce compliance reforms quickly.
3. **Monetary prudential coordination:** financial stability and monetary policy remain aligned.
4. **Administrative efficiency:** avoids the cost of establishing multiple regulatory bodies.

Proposed Internal Structure of the Central Bank

To maintain regulatory integrity, the Central Bank should operate through ‘specialised supervisory departments’ with operational autonomy. A ‘Central Bank-centred supervisory model’ offers a viable pathway for rebuilding the Iranian financial system following sanctions relief. If these conditions are met, Iran could gradually restore trust with international financial institutions and re-enter the global banking system. However, the success of such a model will depend on three critical factors:

- genuine regulatory independence
- strict enforcement of compliance standards
- sustained macroeconomic stability.

1. Monetary Policy Department

A ‘Monetary Policy Committee’ should be established with fixed-term members to prevent political interference. This department ought to be responsible for:

- inflation targeting
- interest rate policy
- macroeconomic forecasting
- liquidity management

2. Banking Supervision Department

It should implement regulatory standards consistent with the guidelines of the Basel Committee on Banking Supervision. This department should oversee:

- bank licensing
- prudential supervision
- capital adequacy monitoring
- stress testing

3. Financial Crime Compliance Directorate

The directorate must ensure compliance with the standards of the Financial Action Task Force. Given Iran's past exposure to sanctions and financial crime risks, a specialised directorate should oversee:

- anti-money laundering enforcement
- sanctions compliance supervision
- suspicious transaction reporting oversight

4. Payment Systems and SWIFT Integration Unit

Following sanctions removal, reconnecting to SWIFT will be essential. This unit should supervise:

- cross-border payment infrastructure
- payment settlement systems
- cyber-security protocols
- operational resilience.

5. Financial Stability Council

This council should issue periodic Financial Stability Reports to enhance transparency. Within the Central Bank, a 'Financial Stability Council' should monitor systemic risks such as:

- bank liquidity crises
- capital adequacy deterioration
- macroeconomic shocks
- contagion risks.

Legal Safeguards for Central Bank Independence

For a central bank-centric model to work, strong legal safeguards must be embedded in the reform act. Without such protections, political interference could undermine financial credibility. Key provisions should include:

- fixed terms for the central bank governor
- removal only by parliamentary vote
- prohibition on direct government borrowing from the central bank
- mandatory publication of policy decisions.

Prudential Supervision Framework

Under the new regime, banks should be supervised according to **three regulatory pillars**.

Pillar 1 Capital Requirements

Banks must maintain capital ratios consistent with Basel III. This includes:

- Common Equity Tier 1 requirements
- leverage ratios
- counter-cyclical capital buffers.

Pillar 2 Supervisory Review

Banks failing these tests must submit ‘capital restoration plans’. The Central Bank should conduct:

- annual stress tests
- supervisory review processes
- capital adequacy assessments.

Pillar 3 Market Discipline

Such disclosures are essential for rebuilding investor confidence. Transparency requirements should include:

- public financial disclosures
- audited financial statements
- risk exposure reporting.

AML and Financial Crime Prevention

A robust anti-money laundering framework is critical for international reintegration. All suspicious transactions must be reported to a Financial Intelligence Unit operating under Central Bank supervision. Banks must implement:

- customer due diligence procedures
- enhanced monitoring of politically exposed persons
- beneficial ownership verification
- automated transaction monitoring.

Correspondent Banking Strategy

International banks will perform extensive due diligence before restoring correspondent accounts. The Central Bank should therefore invite external compliance audits during the transitional period. Re-establishing relationships with international banks will depend on:

1. credible regulatory supervision
2. effective AML enforcement
3. macroeconomic stability
4. political predictability.

Technological Modernisation

Investments will require significant financial resources but are essential for compliance with global standards. Iranian banks must invest in modern compliance infrastructure, including:

- transaction monitoring systems
- sanctions screening software
- regulatory reporting platforms
- cyber-security frameworks.

Transitional Implementation Timeline

A realistic reform schedule might include:

Year 1–2

- adoption of AML legislation
- restructuring of Central Bank governance
- initial compliance reforms.

Year 3–5

- implementation of Basel capital standards
- establishment of beneficial ownership registry
- restoration of correspondent banking relationships.

Year 5–10

- full integration into global financial markets.

Strategic Risks

Mitigating these risks will require sustained political commitment and institutional transparency. Several risks could undermine the reform process:

1. political interference in banking supervision
2. corruption within financial institutions
3. sudden re-imposition of international sanctions
4. insufficient regulatory expertise.